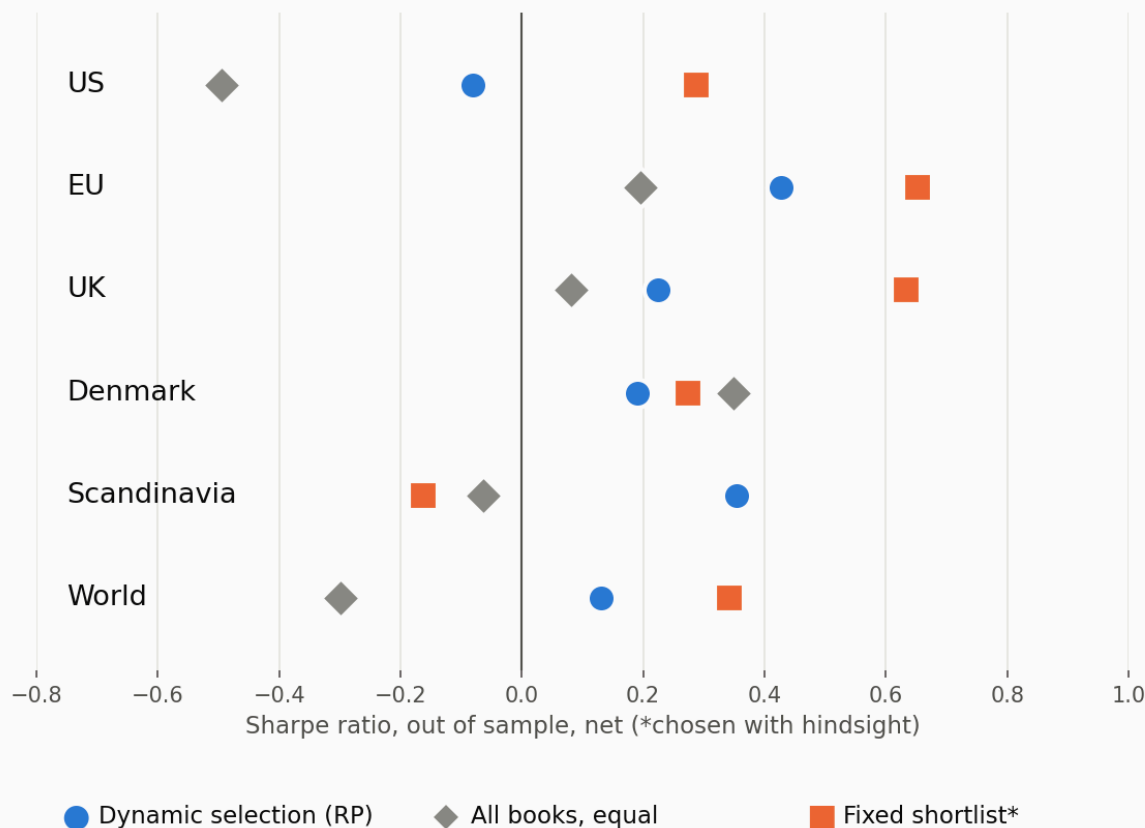


The multifactor model

Pre-registered selection and weighting, out of sample 2016–2026



Beats owning everything by +2.2% a year (t 1.4): not enough to pass its own bar.

Henrik Gjernerig · Project 10 · point-in-time universes, local currency (World in USD)

Henrik Gjernerig · LinkedIn

I wrote the rules down before I ran the model. Here is what happened.

FS14 is the last step of the factsheet series: take 25 market-neutral factor books (19 price signals in six markets, plus six US fundamental themes), and every month, using only the past:

- keep the books with a credible 3-year record (probabilistic Sharpe ≥ 0.8 , costs under half the gross spread),
- drop near-duplicates (correlation above 0.7),
- weight what is left (11 pre-registered rules, from equal weights to 60-month exponential mean/variance).

The bar, set in advance: beat owning all 25 books equally with $t > 2$, and in both 2016–19 and 2020–26.

Result: +2.2% a year better (t 1.4), positive in both periods, in 4 of 5 markets. Not enough. The claim fails its own test.

Two more honest findings:

→ A fixed shortlist of low beta and momentum (plus profit growth and debt issuance in the US) did better, but I picked it after seeing the data.

→ None of these market-neutral books came close to simply owning the market over the same years.

After 409 tests across 14 factsheets, that is the lesson: discipline protects you from fooling yourself more than it finds alpha.

Full factsheet, pre-registration and trial ledger: <https://hgjerner.github.io/now-showing/factsheets/fs14-multifactor-model>

#investing #quant #factorinvesting #research #backtesting